provide consultancy services so as to help the entrepreneur in instituting proper management practices in his unit.

Finance to Small Business

Apart from providing finance to small-scale industries, Talwar was also aware of the need to provide institutional finance for small business. Given the responsibility of the SBI to serve social objectives, Talwar thought that the time was ripe to 'think in terms of small business financing in addition to small industrial financing… For the balanced growth of the economy, financing all aspects of economic activity including trade, industry and commerce should receive due priority…this will be no more than a logical extension of our endeavour to give financial assistance to the small man.'[34] Small business was defined as one employing movable equipment of ₹l lakh and below. A scheme for financing working capital requirements of retail trade had been drawn up at the central office and sent to the LHOs in July 1969. A special feature of the scheme was that advances were not to exceed ₹1 lakh for any individual borrower with most such advances expected to be far below this level. Initially planned at all branches, later it was decided to introduce this scheme only at branches which were located at places which had a population of 50,000 and below. Assessment of credit was to be kept as simple as possible, and the mode of finance was cash credit against stocks-in-trade. No concession was allowed on interest rates. It was also decided to finance professionals under the new scheme wherein professionals were granted loans for the purchase of professional equipment. Later, small businesses were also made eligible for assistance for purchase of movable equipment required for their business under the installment credit scheme.

Little progress was made in the first six months and it was decided as a first step to give wide publicity to the scheme. The scheme was further liberalized and it was accorded the same priority as lending to agriculture and small-scale industries. A new scheme to provide credit to transport operators including taxis and auto-rickshaws was introduced in 1969. According to Talwar the bank had two objectives in building up this new line of business. The first was to spread entrepreneurship among the